

purely to minimize taxes. At the time, marginal tax rates on personal income were upward of 90%, whereas capital gains rates were just 25%. Charging only incentive fees allowed Jones to keep an extra 65 cents of every dollar earned.

3. Finally, the fund was exempt from the 40-Act.

Jones's fund was *private*, and he could not (and did not need to) solicit funds from the general public. That is, a hedge fund is not a *public* "investment company" as defined by the 40-Act. As he gained investors, he set up additional partnerships to maintain exemption. A nice feature of the funds management business is economies of scale: the fixed costs of the systems you need to manage ten funds are pretty much the same as for one. So HF managers' revenue quickly explodes with increasing assets under management. (But a larger asset base translates into less value added for investors, as I explain below.)

Modern HFs have some, if not all, of these features. It is notable that an investment vehicle now so favored by institutions was first invented to cater to individual investors. (The same is true for private equity, which I discuss in the next chapter.)

HFs can produce enormous gains. George Soros came to be called "the Man Who Broke the Bank of England" by anticipating that the United Kingdom would be forced to devalue and leave the European Exchange Rate Mechanism—which it did, on September 16, 1992. His Quantum Fund bet \$10 billion by shorting sterling and buying Deutschmarks in the preceding week, earning him \$1.8 billion. In 2007, John Paulson made "the greatest trade ever" in the words of Zuckerman (2009) by betting against mortgages. His HF made \$15 billion on the move, of which Paulson personally took home \$3.7 billion.

HFs can also lose big. In 1998, Long Term Capital Management (LTCM), a HF co-founded by Nobel Prize winners Robert Merton and Myron Scholes, collapsed when its credit bets went sour after Russia defaulted in August.¹³ LTCM had begun the year with \$5 billion in assets and borrowings of \$125 billion (a leverage ratio of 25:1—not that far off the typical leverage of investment banks). By September 21, 1998, its assets had dropped below \$1 billion and its leverage exceeded 100:1. Two days later, LTCM was bailed out by a consortium of sixteen investment firms (coordinated by the Federal Reserve Bank of New York), which provided \$3.6 billion of capital. The largest loss incurred by a HF to date is Amaranth Advisors in September 2006. Amaranth lost \$6 billion, or close to 65%, thanks to a lot of leverage and a wrongheaded bet on natural gas futures.¹⁴ Investors seeking to pull out their money as soon as the losses were announced in a letter on September 29, 2006, were in for a shock—the HF imposed gates so no one could withdraw funds (see below).

¹³ See Perold, A., 1999, Long-Term Capital Management, LP (C), Harvard Business School Case 9-200-009.

¹⁴ See Mufson, S., "Amaranth's Losses Top 6 Billion," *Washington Post*, Sept. 22, 2006.